

PLSC 476: Empirical Legal Studies

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Rule 5.4:

- a. A lawyer or law firm shall not share legal fees with a nonlawyer,...
- b. A lawyer shall not form a partnership with a nonlawyer if any of the activities of the partnership consist of the practice of law.
- c. A lawyer shall not permit a person who recommends, employs, or pays the lawyer to render legal services for another to direct or regulate the lawyer's professional judgment in rendering such legal services.
- d. A lawyer shall not practice with or in the form of a professional corporation or association authorized to practice law for a profit, if:
 - 1. a nonlawyer owns any interest therein...;
 - 2. a nonlawyer is a corporate director or officer thereof or occupies the position of similar responsibility in any form of association other than a corporation; or
 - 3. a nonlawyer has the right to direct or control the professional judgment of a lawyer.

What This Means...

“(L)egal services must be provided by a law firm that is owned, managed, and financed exclusively by lawyers.”¹

- Every member of management must be a lawyer
 - Includes the CEO, CFO, CIO, CTO, etc.
 - Operates at *all* levels (firm, office, practice group, etc.)
- Every individual who invests in the firm must be a lawyer
 - No “outside” investors.
 - No venture capital, etc.
 - No corporate ownership.
 - No publicly-held law firms.

→ **All law firms are organized as partnerships (or vereins...), and**
→ **Partnership is valuable.**

¹Hadfield, Gillian, and Deborah Rhode. 2016. “How to Regulate Legal Services to Promote Access, Innovation, and the Quality of Lawyering.” 67 *Hastings Law Journal*, p. 1193.

Partners and Partnership

Two-Tier System:

- Associates
- (Equity) Partners

Three-Tier System:

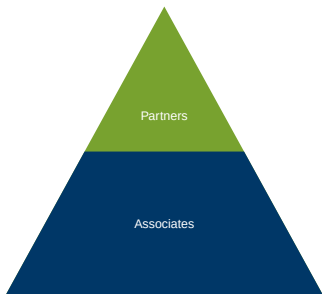
- Associates
- Non-Equity Partners
- Equity Partners

In general, there are more associates and non-equity partners than equity partners...

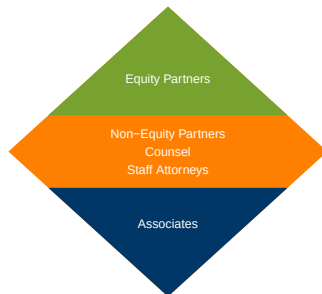
$$\text{Leverage} = \frac{N_{\text{Associates}} + N_{\text{Non-Equity Partners}}}{N_{\text{Equity Partners}}}$$

Law Firm Models

Pyramid Model



Diamond Model



Pyramids and Diamonds

Classic Pyramid: Skadden Arps:

- $N_{\text{Equity Partners}} = 383$
- $N_{\text{Non-Equity Partners}} = 0$
- $N_{\text{Associates}} = 1271$
- Leverage = 3.32

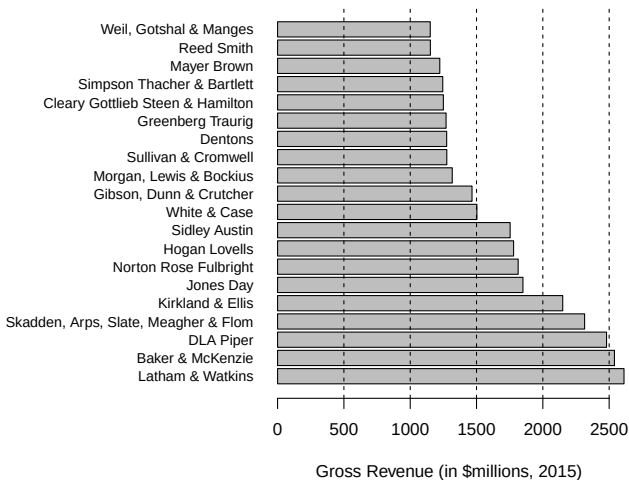
Classic Diamond: Lewis Brisbois:

- $N_{\text{Equity Partners}} = 103$
- $N_{\text{Non-Equity Partners}} = 454$
- $N_{\text{Associates}} = 334$
- Leverage = 7.65

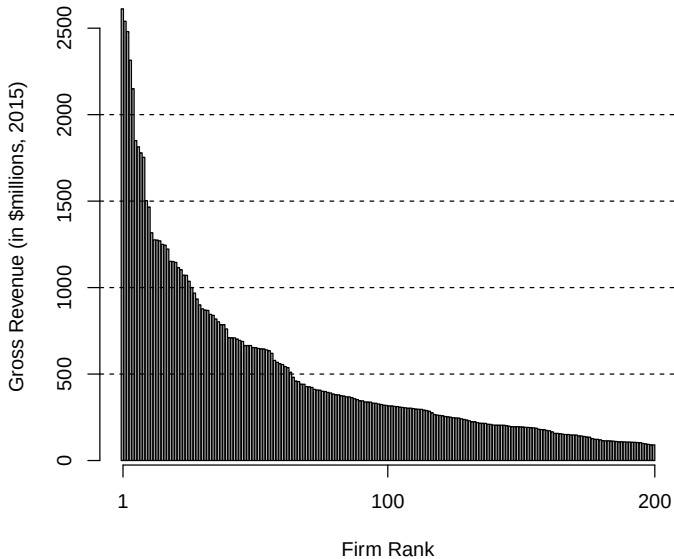
Some Data: The “AmLaw 200”

- Annual data collected by *The American Lawyer*
- The 200 largest law firms in the U.S., as measured by gross revenue
- Began in the 1990s...
- Information includes:
 - Gross revenue + revenue per lawyer (RPL)
 - Profits and Profits per (equity) Partner (PPP)
 - Number of equity and non-equity partners, and associates
 - Leverage
 - Average compensation
- Here: Focus on one semi-recent year (2015)...

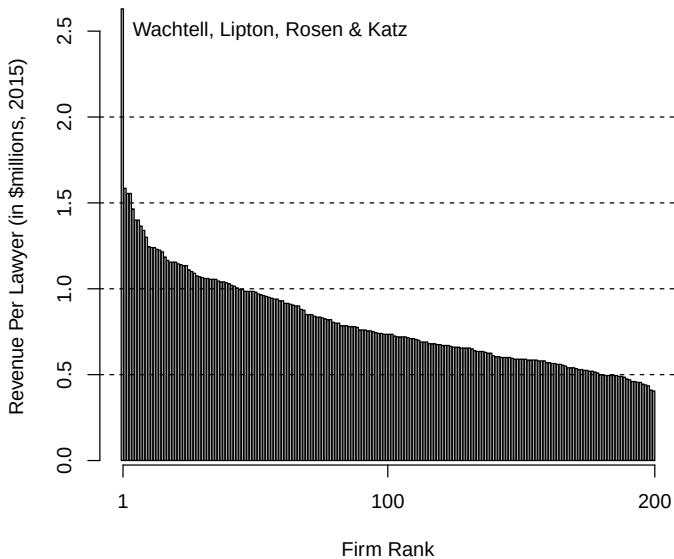
The 20 Biggest Law Firms (by Revenue, 2015)



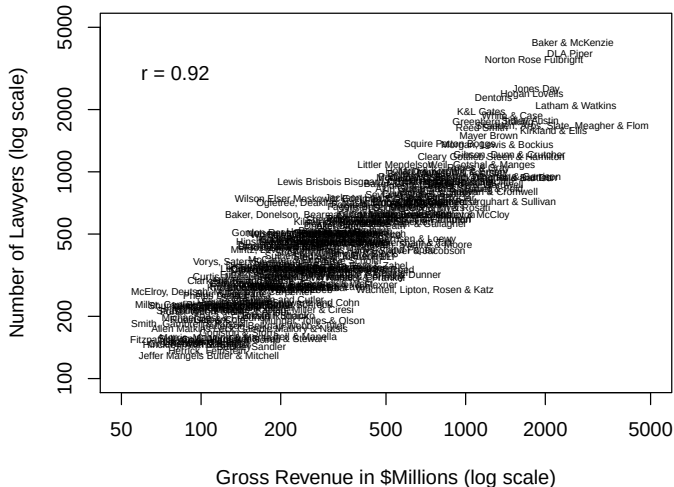
Gross Revenue in the AmLaw 200 (2015)



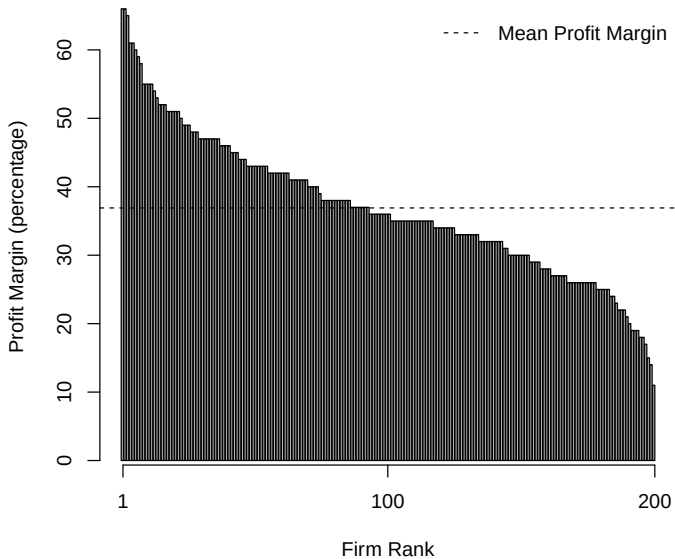
Revenue Per Lawyer



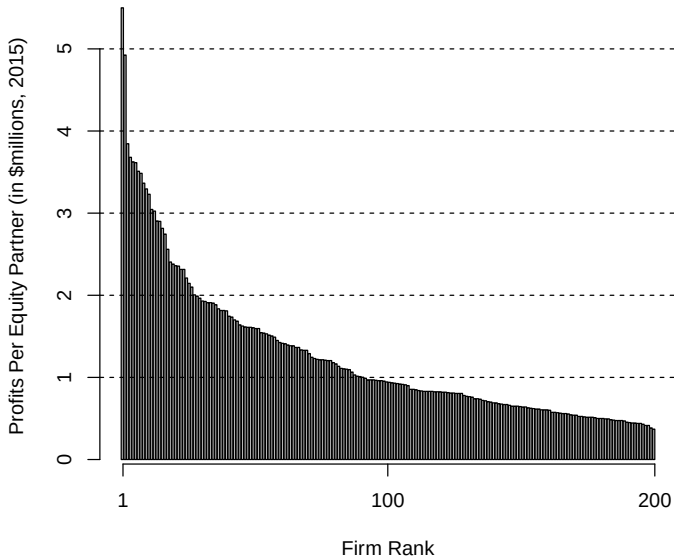
Firm Size and Gross Revenue



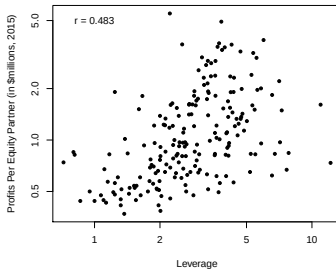
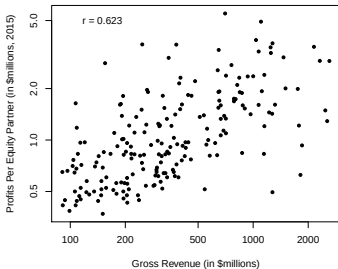
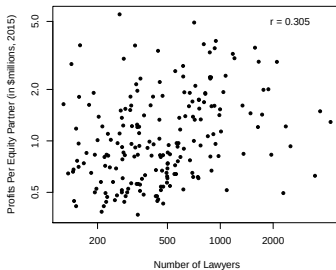
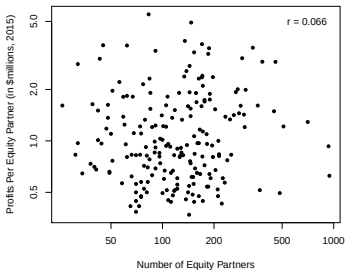
Profit Margins



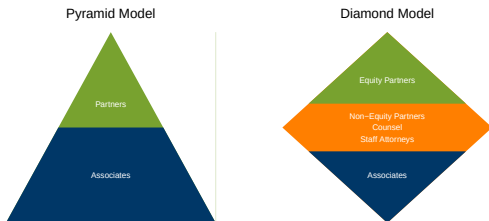
Profits Per (Equity) Partner (PPP)



What Correlates With PPP?



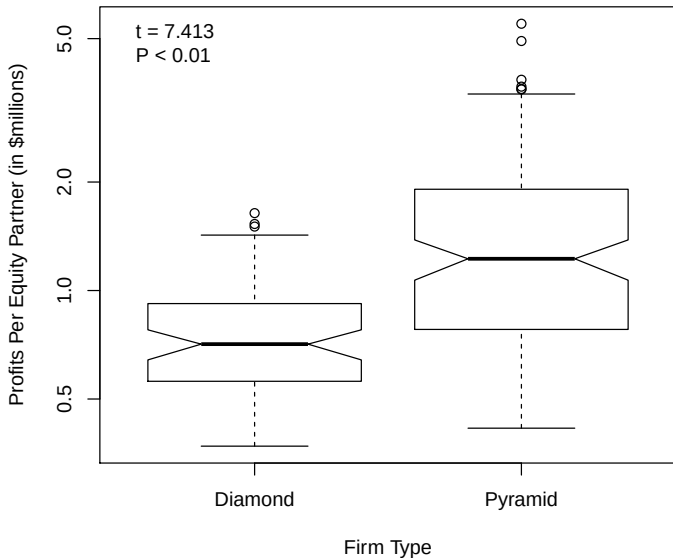
Operationalizing Firm Type



Criteria:

- $\frac{N_{\text{Non-Equity Partners}}}{N_{\text{Associates}}} < 0.5 \longrightarrow \text{Pyramid } (N = 130)$
- $\frac{N_{\text{Non-Equity Partners}}}{N_{\text{Associates}}} > 0.5 \longrightarrow \text{Diamond } (N = 70)$

Profits Per Partner by Firm Type



Models of Profits Per Partner

	<i>Dependent variable: log(ProfitsPerEquityPartner)</i>		
	All Firms	Pyramid Firms	Diamond Firms
Constant	-7.307*** (0.623)	-7.452*** (0.707)	-5.731*** (1.288)
log(Gross Revenue)	1.517*** (0.045)	1.524*** (0.051)	1.407*** (0.095)
log(Number of Lawyers)	-1.467*** (0.048)	-1.475*** (0.054)	-1.365*** (0.101)
log(Leverage)	0.318*** (0.029)	0.373*** (0.036)	0.222*** (0.043)
Diamond Firm	-0.050* (0.030)		
Observations	200	130	70
R ²	0.913	0.916	0.820
Adjusted R ²	0.911	0.914	0.811

Note:

* p<0.1; ** p<0.05; *** p<0.01

The Business Side of Legal: Other Topics

- Practice Areas
- Specialization
- Location / Geographic Scope
- International Practice + Partnerships
- The “Billable Hour Model”
- → Incentives for Innovation